

Tempus AI, Inc.
TEM NASDAQ

Buy	\$46.18 ▼ 0.67%	12M Price Target \$62.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.29B
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TEM: BMS Partnership Deepens, ArteraAI Launch; Reiterate Buy

WHAT'S CHANGED

- Tempus launched ArteraAI Prostate Test (5/24), the first externally developed digital pathology algorithm on its platform — validates open-architecture strategy and expands AppDx revenue stream.
- Expanded strategic partnership with Bristol Myers Squibb (5/23) deepens multimodal AI drug development collaboration; shares rebounded +5.9% off the 52-week low (\$41.73) over the past five sessions on 4.9M avg daily volume.

IMPLICATIONS

The BMS expansion reinforces TEM's Data & Services segment as a durable, high-margin growth driver, with biopharma deal flow now anchoring visibility against ongoing Genomics segment losses. ArteraAI's launch establishes Tempus as the de facto distribution layer for third-party pathology AI — a margin-accretive, capital-light revenue stream analogous to an app-store model. Near-term catalysts include Q2 print (early August), AppDx algorithm count disclosure, and Ambry contribution ramp.

VALUATION

Our \$62 PT applies ~8x EV/Revenue to FY2027E sales of \$1.56B, a discount to high-growth diagnostics/AI peers (10–12x) reflecting persistent EBITDA losses and dilution risk. At current \$8.3B market cap, TEM trades at ~5.3x FY27E sales — near the low end of the 52-week range and offering ~34% upside. Multiple expansion hinges on a credible path to adjusted EBITDA breakeven by 2H27 and sustained 25%+ Data revenue growth.

KEY RISKS

- Continued GAAP losses and potential equity raise given cash burn trajectory; share price sits at just 7% of 52-week range, signaling fragile sentiment.
- Reimbursement pressure on Genomics testing (xT/xF) and competitive intensity from Natera, Guardant, and Caris.
- Biopharma deal lumpiness — concentration risk if BMS or AstraZeneca renegotiate; regulatory scrutiny on AI/LDT pathway under evolving FDA framework.

RECENT NEWS

Tempus AI (TEM) Launches ArteraAI Prostate Test, The First Externally Developed Digital Pa... Insider Monkey · 2026-05-24 13:06

Tempus AI, Inc. (TEM) and Bristol Myers Announce a Strategic Partnership Insider Monkey · 2026-05-23 04:49

Assessing Tempus AI (TEM) Valuation After Recent Share Price Weakness Simply Wall St. · 2026-05-19 00:21

Key Data	
Price (USD)	\$46.18
12M Price Target	\$62.00
Upside / (Downside)	+34.3%
Market Cap	\$8.29B
FY2026E Revenue	\$1,240M
FY2027E Revenue	\$1,560M
FY2026E EPS	(\$1.15)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

